Angath Arts Private Limited vs Century Communications Ltd. And Anr. on 6 May, 2008

Equivalent citations: 2009 (2) CIVILCOURTC 267, AIR 2009 BOMBAY 26, 2008 (6) AIR BOM R 812, 2009 (2) AJHAR (NOC) 427 (BOM.), 2009 (2) AKAR (NOC) 252 (BOM.), 2009 A I H C 1173, 2008 (3) ARBI LR 197, 2009 (2) CIV LJ 160, 2008 (4) MAH LJ 926, 2008 (4) BOMCR 838

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Bench: D.G. Karnik

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ORDER


D.G. Karnik, J.
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1. By consent, heard finally at the stage of admission itself.

2. By this petition, petitioner seeks injunction restraining the respondents from transferring, licensing or sub-licensing any rights in the copyright of the film "Victoria No. 203" to any third party.

3. Reliefs claimed under prayers (b) and (c) are declined as not pressed.

4. The facts giving rise to the controversy between the parties are that the petitioner is the producer and first owner of copyright in the film "Victoria No. 203". By an agreement dated 26th July 2007, the petitioner assigned to the respondent along with him joint ownership in the ratio of 50:50 the rights in the negative of the film. There is some dispute between the parties as to whether copyright in the film or only in the negatives of the film are assigned. That would be decided by the arbitral tribunal. At this stage suffice it to refer to Clause No. 8(d) of the agreement which provides that the respondents shall be entitled to enter into an agreement in respect of the his rights (under the agreement) by making the petitioner the confirming party to the agreement. The agreement provides that all disputes and differences arising between the parties in connection with the agreement shall be resolved by mutual consent failing which the disputes shall be referred to the arbitration.

5. Disputes having arisen between the parties and petitioner wants to refer the disputes to arbitration. Pending constitution of arbitral tribunal and reference, the petitioner has claimed

interim injunction as mentioned above.

6. It is not disputed that the petitioner was the producer and original holder of the copyright in the film. Perusal of Clause No. 8 of the agreement prima facie shows that the petitioner has made the respondents joint owners of the copyright to the extent of 50%. Petitioner has further given the right to the respondents to exploit the said copyright by entering into an agreement with others but subject to petitioner being made the confirming party to the agreement. According to the petitioner, the respondents have negotiated with the third party for exhibiting of the film abroad without the consent of the petitioner. According to the petitioner, the respondents have no right for exhibiting the said film without the concurrence of the petitioner.

7. Placing reliance on the decision of the Supreme Court in Power Control Appliances and Ors. v. Sumeet Machines Pvt. Ltd. , Page 1694 Mr. Dhond submitted that in respect of joint ownership of a copyright, the use of the copyright must be made jointly by the co-owners and individual use by any one of the co-owners is not permissible. In paragraph no. 41 of the decision, the Supreme Court has observed thus:

> Tt is a settled principle of law relating to trade mark that there can be only one mark, one source and one proprietor. It cannot have two origins. Where, therefore, the first defendantrespondent has proclaimed himself as a rival of the plaintiffs and as joint owner it is impermissible in law. Even then, the joint proprietors must use the trade mark jointly for the benefit of all. It cannot be used in rivalry and in competition with each other.

8. Learned Counsel for the respondent submitted that the observations made in paragraph no. 41 are applicable only in respect of the use of a trade mark and cannot apply in respect of use of a copy right. He submitted that trade mark is a tangible mark and therefore it is possible to restrict the joint use. Copy right is an intangible thing and therefore observations made in paragraph no. 41 of the decision of the Supreme Court are not applicable. I am unable to agree. In my view the principle applies not only for use of a trade mark but also for use of a copyright. I am fortified in my view by a decision of Allahabad High Court rendered in Nav Sahitya Prakash v. Anand Kumar AIR 1981 Allahabad 2000, following the decision of the Chancery Division in Powel v. Head reported in 1879 12 Ch.D 686, Therein the Allahabad High Court held that a joint owner of a copyright cannot, without the consent of the other joint owner, grant a licence or interest in the copyright. No other decision taking a contrary view was pointed out by counsel for the respondent.

9. In my view the respondents cannot exploit the copyright singly or individually. The exploitation of the copyright must be jointly made by the petitioner and respondents as they are the joint owner. The respondents are not entitled to grant licence for exploitation of the film "Victoria No. 203" without the concurrence of the petitioner. In view of this, in my view, petitioner is entitled to an injunction pending the arbitration. I accordingly pass the following order:

10. Respondents are hereby restrained from an order of injunction from assigning, transferring, licensing or sub-licensing or in any other manner using the copyright in film "Victoria No. 203"

without the concurrence of the petitioner, for a period of four months hereof. During the said period of four months, the petitioner shall take steps for constitution of the arbitral tribunal and thereafter may apply to the arbitral tribunal for appropriate interim reliefs Under Section 17 of the Arbitration Act.